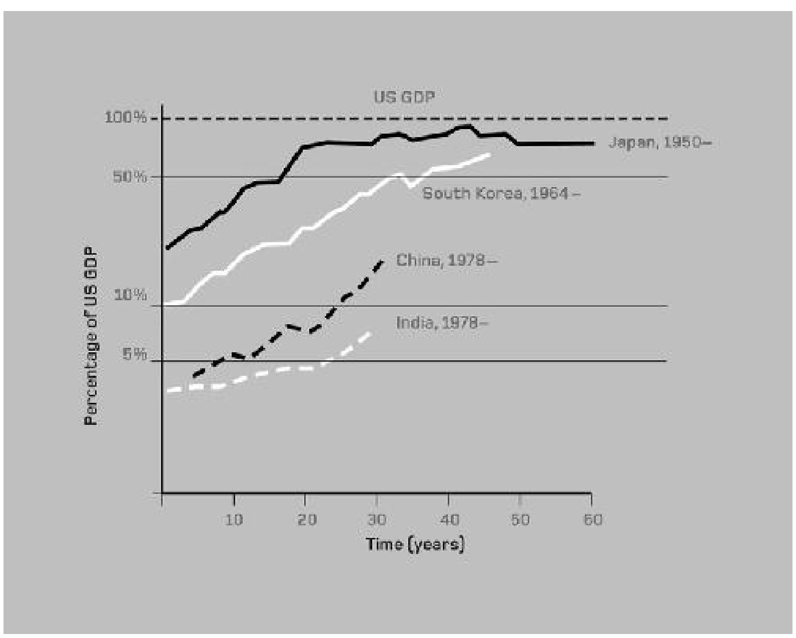
Economic convergence

In the mid-1950s, American economist Robert Solow devised a theory of economic growth which predicts that over time countries' living standards converge: poor countries will catch up with the rich. The idea is that the lower starting point of poor countries actually allows them to grow faster. When a country has little capital – factories, roads and machines – extra investment has a big impact on growth. When a country is rich and already has a large capital stock, the same extra investment has a much smaller impact on growth. Over time, then, as countries get richer they grow more slowly.

Like all theories, Solow's depends on simplifying assumptions – a crucial one is that all countries have access to the same stock of technology. In practice, there are all sorts of economic, political and social barriers to accessing the latest technologies. Some countries, such as South Korea and other Asian nations have managed to catch up with the industrialized West, but for many convergence remains a chimera.



A graph of post-war GDP per head in several Asian economies shows how growth is fastest in the early years of development, and then tends to flatten out, allowing other countries to catch up.